



Cost optimization for the cloud

Hi!

It's great to be with you learning about cost optimization in the cloud.

Optimizing costs—in other words, saving money—is something that's important to all businesses, whether it's lowering the price of cloud computing or just planning and making smart decisions.

As an everyday example, say you were heading out of town for a week.

You wouldn't keep all your lights on, leave perishable food in the fridge, or schedule important deliveries.

That would be a total waste of money!

Cloud cost optimization is a lot like that.

It involves planning and managing resources so you're not paying for what you don't need or spending more on services than necessary.

In this video, we'll define cloud cost optimization as it relates to using and managing cloud resources, discuss the benefits of cloud optimization, and dive into some cloud cost optimization strategies.

Let's get started!

So, first, what exactly is cloud cost optimization?

Cloud cost optimization is the process of reducing cloud expenses by implementing cost-reduction strategies.

But cloud cost optimization does more than just save money for organizations.

It also offers ways to enhance workload efficiency and ensures cloud resources are giving users maximum value.

It does this in a few key ways.

The first is cost visibility.

This means the organization knows exactly what they spend their money on and how specific cloud services are billed.

It's all about being able to justify why a certain amount of money was spent to achieve an operational goal.

The next benefit is improved performance of applications.

By optimizing cloud resources, organizations can guarantee that apps run smoothly, which improves the user experience while reducing cloud expenses.

Another really critical advantage is cutting carbon emissions.

Like most business activities, using the cloud affects the environment.

So, as a cloud specialist, you can play an important role in reducing your organization's carbon footprint by optimizing cloud resources.

Ok, now that we've examined some cost optimization benefits, let's discuss some strategies that businesses can use to ensure they're getting the best return on their cloud investments.

First, rightsizing.

This is the process of adjusting computing resources, like processing power and storage, to fit the exact needs of an application or workload.

This optimizes usage.

Similarly, auto-scaling is a cloud service that monitors applications, automatically scaling up or down according to the computing resources needed to meet user demands.

Finally, reserved instances is a cloud payment model in which an organization purchases a specific amount of resources for a certain time and receives a discount in return for this commitment.

Organizations can use cloud resources long term, when they do not expect to have to scale up or down during a specific time period.

Then, the organization can benefit from reserved instances.

When implemented, these cost optimization strategies significantly reduce expenses, improve app efficiency, cut waste, increase environmental responsibility, and provide a better return on cloud investments.

Plus, all of these advantages have the potential to create something any business will enjoy: cost savings.

Now, that's a great way to demonstrate the value of talented cloud data analytics professionals!